

Summary: Governing for the Green Transition

1. Overview & Institutional Purpose

The climate crisis represents an escalating, systemic threat to global socioeconomic frameworks, with a sharp increase in the frequency of hydrological and weather-related natural disasters. While technically viable green technologies exist to bridge up to 70% of emissions gaps by 2050, public administrations face a massive **credibility and implementation gap**. Across the OECD, an average of 44% of citizens report low or no trust in their national governments, and only 42% believe their respective nations will successfully achieve greenhouse gas (GHG) reductions within the next decade.

To systematically address this bottleneck, the OECD has established the **"Governing for the Green Transition" framework**. This framework maps out the institutional, regulatory, and public administrative mechanisms required to transform political will into sustained, legally enforceable legal and policy outcomes. It is structured across three mutually reinforcing pillars: **Commitment, Capabilities, and Consensus**.

2. Pillar 1: Commitment (Institutional & Time-Inconsistency Safeguards)

The foundational legal hurdle in long-term environmental policymaking is **time inconsistency**. Elected officials operate within short-term electoral cycles, incentivizing them to roll over upfront mitigation costs to future administrations. This creates policy uncertainty that suppresses private market investment in decarbonization.

Key Mechanisms & Statutory Findings:

- **Legislating Targets:** Strategies must be hard-coded into statutory text rather than simple policy announcements. As of 2022, 62% of OECD nations had placed Net Zero targets directly into law, creating solid legal barriers against future political backsliding.
- **Whole-of-Government Co-ordination:** Disjointed efforts across individual ministries (energy, transport, agriculture) weaken enforcement. The framework highlights the need to place environmental steering power directly inside the **Centre of Government (CoG)** (e.g., Prime Minister or Presidential offices). However, structural data reveals a legal vulnerability: only 51% of CoGs are legally mandated to actively steer and co-ordinate these policies.

- **Independent Oversight:** The expansion of **Independent Climate Advisory Bodies (ICABs)** serves as a vital external accountability anchor. Over half (51%) of OECD nations have instituted ICABs, with 17 established firmly by law (e.g., the United Kingdom's Climate Change Committee). These statutory expert panels insulate five-year carbon caps and progress tracking from political cycles.

3. Pillar 2: Capabilities (Administrative & Financial Levers)

Commitment is toothless without the cross-cutting public administrative competencies required to enforce economic and regulatory instruments.

Key Regulatory & Financial Competencies:

- **Green Regulation & Ex Post Accountability:** While 80% of OECD states require environmental impact assessments during regulatory design, only half extend these to calculate granular GHG values. A major legal loophole remains in **ex post evaluations**: only 8% of nations require mandatory ex post reviews to assess if current laws remain aligned with sustainability goals, creating an unchecked regulatory feedback vacuum.
- **Mandates of Sector Regulators:** Independent economic network regulators (overseeing energy, water, and transport) are critically under-utilized. Only 41% of these economic regulators possess explicit environmental sustainability objectives defined in their establishing legislation, and a mere 58% possess the actual legal power to factor environmental outcomes into their decisions.
- **Next-Generation Green Budgeting:** 66% of surveyed nations use at least one green budgeting instrument. However, independent oversight of green spending remains fragile, scoring low on accountability and transparency. The OECD advises moving past simple "green tagging" toward building multi-dimensional econometric models that directly project budget impacts on total net emissions.
- **Green Infrastructure & Procurement:** Public procurement represents a massive lever, accounting for 13% of GDP across the OECD. While 94% of states have enacted Green Public Procurement (GPP) frameworks, only 9% utilize key performance indicators to actively measure environmental outcomes (such as CO2 volumes saved), resulting in a gap between policy text and real-world results.

4. Pillar 3: Consensus (Fairness, Public Law, and Civic Spaces)

Because the green transition demands sweeping behavioral changes from the private sector and civil society alike, policies are unsustainable without broad societal acceptance. Support hinges completely on **perceived fairness of process** and **distributive equity**.

Major Social & Civil Dimensions:

- **Mitigating Distributive Inequities:** Regulatory structures like carbon taxes can naturally result in regressive impacts on lower-income households. A legal and administrative framework must exist to recycle these revenues via targeted cash transfers or direct citizen ownership models (e.g., the European Union's "energy communities") to build structural support.
- **Integrity, Lobbying, and Undue Influence:** Scepticism rises when citizens feel public policy is captured by private corporate interests. Public data reveals systemic weaknesses in national integrity frameworks: only 52% of OECD countries have explicitly defined lobbying in legislation, and only 39% have enacted proportionate statutory sanctions for breaches of transparency standards. Furthermore, a striking 70% of countries completely fail to track "revolving door" employment paths of former ministers moving directly into the industries they previously regulated.
- **Access to Justice & Litigation:** The judiciary functions as a backstop to guarantee accountability. Specialized **Environmental Courts and Tribunals (ECTs)** have expanded dramatically worldwide, growing from 350 in 2009 to over 2,115 across 44 countries. Climate litigation acts as a crucial enforcement tool, achieving a 70% success rate against corporate greenwashing claims. A responsive legal system must protect citizen complaints and ombudsperson pathways to resolve land-use and regulatory disputes swiftly without dragging citizens through conventional, cost-prohibitive judicial channels.